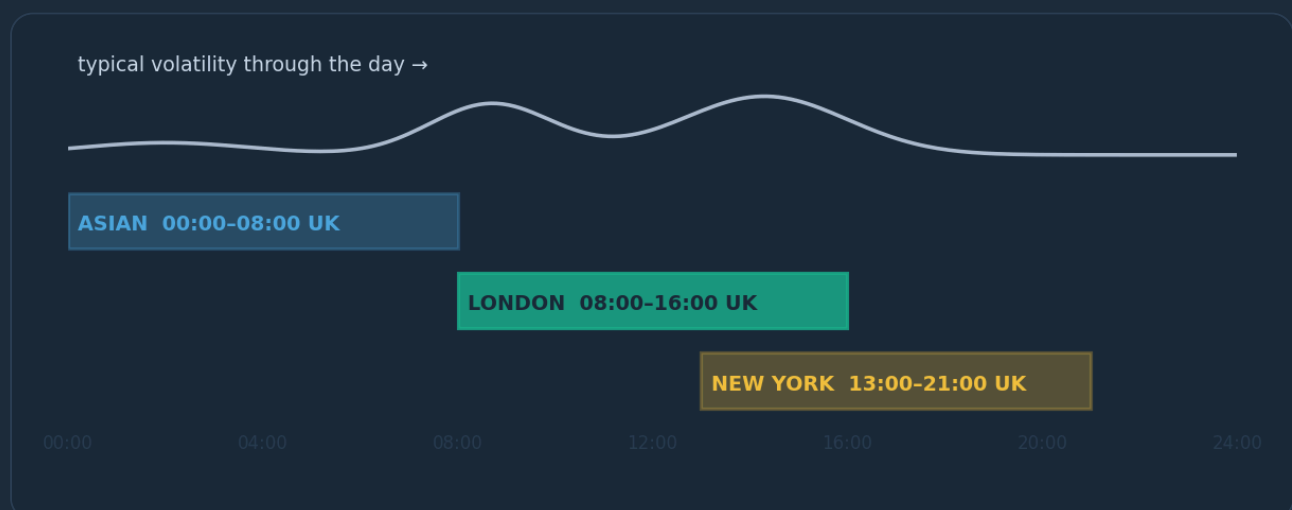


Day Trading the Sessions

Trading intraday moves around the rhythm of the trading day — the Asian range, the London open expansion and the New York overlap.



Day Trading the Sessions

The Complete Course

PIP:Insight Forex School — Course 11 of 15

First Edition — 2026

This book is educational content only. It is not financial advice, and nothing in it is a recommendation to buy or sell any instrument. Every chart, level, price and trade described here is an illustration of technique — a teaching example, not a signal. Trading foreign exchange involves a substantial risk of loss and is not suitable for everyone. Never trade with money you cannot afford to lose.

How to Use This Book

This is a book about time. Not timeframes — time. The actual clock on your wall, and the fact that the forex market behaves differently at 3am than it does at 8:15am, differently at 8:15am than it does at 2pm, and differently on a Tuesday than on a Friday afternoon. If you have worked through our earlier courses on structure, support and resistance, and risk, you already know *where* price tends to react. This course is about *when*.

It is also, we should say up front, the most demanding course in the series, because day trading is the most demanding format in trading. We will make that case properly in Chapter 1 rather than bury it in the small print. If you read Chapter 1 and quietly decide that swing trading suits your life better, this book has done you a favour worth far more than its cover price.

Read the chapters in order. The book is built like a trading day: we start with the 24-hour map, then walk through the Asian range, the London open, and the New York overlap in sequence, because each session only makes sense in the context of the one before it. The later chapters — session levels, intraday execution, daily bias, routine and review — turn the map into a repeatable process.

Three requests. First, keep a charting platform open as you read, set to UK time, and find real examples of everything we describe. The patterns in this book happen most weeks; your job is to see them in the wild, not just in our diagrams. Second, treat every framework here as a hypothesis to test on your own charts and in a demo or journalled environment — not as a promise. We do not know what next Tuesday's London open will do, and neither does anyone else. Third, do the end-of-book test honestly. Fifteen questions, no invigilator, and the only person you can cheat is yourself.

Kettle on. Charts open. Let's learn to read the clock.

Chapter 1 — The 24-Hour Forex Clock: Sessions and Volatility

Forex is often sold on the fact that it trades 24 hours a day, five days a week. That is true, and it is also the least useful fact in trading, because it implies all 24 of those hours are worth your attention. They are not. The market has a daily rhythm as reliable as a commuter timetable, and the whole discipline of session trading rests on one observation: volatility is not evenly distributed through the day. It clusters, and it clusters at predictable times.

The three sessions that matter

Textbooks list four sessions — Sydney, Tokyo, London, New York — but for a UK trader the practical map has three zones.

The Asian session runs, in UK terms, from roughly 11pm to 7am in summer (midnight to 8am in winter — more on clock changes shortly). Tokyo, Singapore, Hong Kong and Sydney are at their desks. Liquidity is thinner than the European day, spreads on non-yen pairs are wider, and price on the majors tends to drift and range rather than trend. Yen and Australasian pairs see their most natural flow here.

The London session opens at 8am UK time, with Frankfurt warming up from 7am. London is the largest FX centre in the world by turnover — the Bank for International Settlements' triennial surveys have put the UK's share of global FX trading at roughly 38 per cent, more than the next two centres combined. When London opens, the market's biggest pool of liquidity switches on, and the day's real business begins.

The New York session joins from around 1pm UK time, with the key US data window at 1:30pm and the stock market open at 2:30pm. From about 1pm to 5pm UK, London and New York are both fully active. This overlap is the deepest, most liquid, most heavily traded window of the entire 24-hour day.

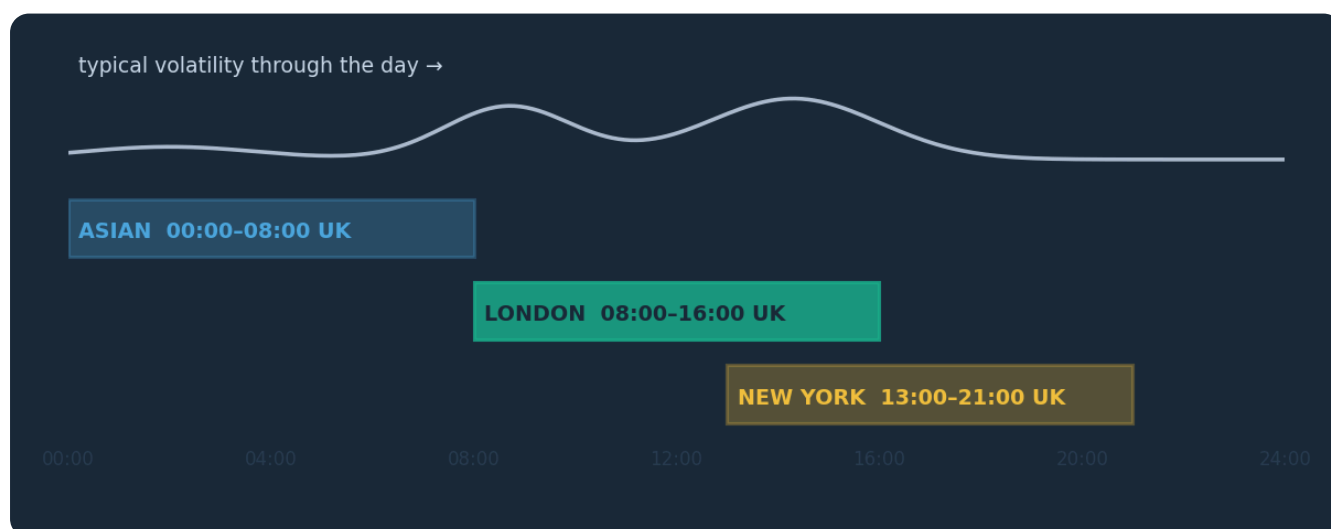


Figure. The 24-hour forex clock in UK time, with the London session highlighted. Volatility is not spread evenly around the dial — it concentrates when London is open, and peaks when New York joins it.

After 5pm UK, American traders wind down, liquidity thins, and by 10pm the market is back in its quiet overnight state. Then the cycle repeats. Day in, day out, for decades.

Why volatility clusters

The rhythm is not mystical. It is people. Banks, funds, corporates and their algorithms concentrate their activity in their own business hours. Orders accumulate overnight — a pension fund's currency hedge, an exporter's invoice, a macro fund's position adjustment — and get worked when the relevant desk's liquidity arrives. Economic data lands on a schedule: UK releases typically at 7am, European data through the morning, US data at 1:30pm and 3pm UK. Volatility clusters because the causes of volatility are diarised.

For the day trader this is a gift. You do not have to predict *whether* the market will move today with any confidence — most days it will. You can instead build your entire method around *when* it is most likely to move, and be flat, or asleep, the rest of the time. A session trader's edge starts with attendance: being present for the two or three hours a day when the market is actually paying, and absent for the twenty-one when it is not.

One housekeeping note that trips up more UK traders than any indicator: **clock changes**. The UK and the US change their clocks on different dates — the US moves in early March and early November, the UK in late March and late October. For a few weeks each spring and autumn, the 1:30pm US data window becomes 12:30pm UK. Put the dates in your diary. Getting steamrolled by a US inflation print you thought was an hour away is a rite of passage nobody needs twice.

An honest word before we go any further

Here is the editorial position, stated plainly: day trading is the hardest format in retail trading, and most people reading this book would be better served swing trading instead.

That is not false modesty and it is not a legal disclaimer in disguise. It is arithmetic and psychology. Day trading means more decisions per week, and every decision is a fresh opportunity for error. It means smaller targets, so spreads and costs eat a larger percentage of every winner. It means acting in minutes, under pressure, at fixed times of day that may collide with your job, your family, and your sleep — the London open is manageable for a UK reader; the best of the New York session lands in the middle of the working afternoon. And it means your mistakes compound quickly, because there is always another trade in twenty minutes to "fix" the last one with. Regulators require brokers to publish the proportion of retail accounts that lose money on CFDs, and those published figures sit consistently in the region of two-thirds to three-quarters. The fastest formats are not where those numbers improve.

Swing trading — covered elsewhere in this series — offers fewer decisions, wider targets that dwarf the spread, and a pace at which a human being can actually think. If you have a full-time job, a young family, or a temper, that is almost certainly your format.

So why does this book exist? Because the session framework is worth learning even if you never day trade: swing traders get better entries by timing them to sessions, and everyone benefits from knowing when the market is serious and when it is drifting. And because some readers will day trade anyway, and we would rather you did it with a map, a process, and honest expectations than with none of the three. This book gives you the map. Whether you should use it at day-trading speed is a decision to make slowly, with a journal full of your own evidence — not on page ten.

CHAPTER 1 IN ONE SENTENCE:

Forex volatility clusters at predictable times of day — quiet in Asia, expanding at the London open, peaking in the London–New York overlap — and the session trader's first edge is simply being present for the right hours, having honestly accepted that day trading is the hardest format there is.

Chapter 2 — The Asian Range: Setting the Stage

Every trading day tells a story, and the Asian session is the opening paragraph. Nothing much happens in it, on most days, for most major pairs — and that is precisely what makes it useful. While Tokyo and Sydney tick along, EUR/USD, GBP/USD and friends typically compress into a relatively narrow band. That band — the Asian range — becomes the day's first reference structure: a defined high, a defined low, and a resting place for orders that the European day will feed on.

What the Asian session actually is

In UK terms, the Asian session runs from roughly 11pm to 7am in British summer, midnight to 8am in winter. Liquidity in the European majors is thin: the desks that dominate those pairs are asleep. Thin liquidity cuts both ways. Most nights it means small, choppy, mean-reverting movement — a market drifting on autopilot. Occasionally it means the opposite: a surprise headline into an empty order book can produce exaggerated moves, because there are fewer resting orders to absorb the shock. The infamous "flash" moves in sterling and yen over the years have disproportionately happened in Asian hours for exactly this reason. Respect the quiet; don't mistake it for safety.

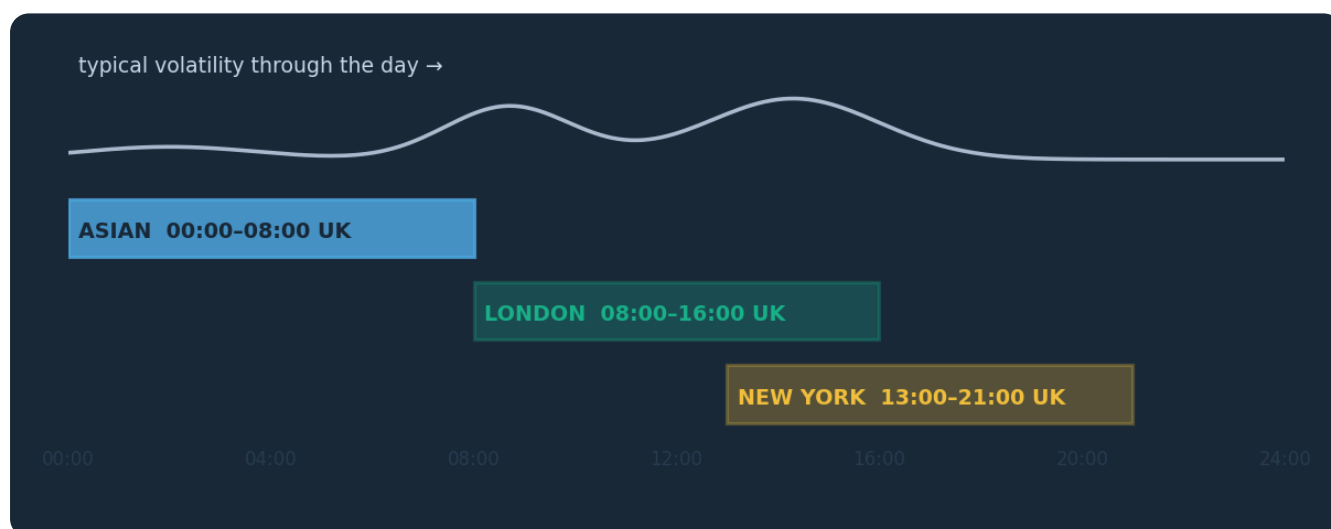


Figure. The Asian session on the UK clock — roughly midnight to 8am in winter. For the European majors this is the quiet accumulation phase of the day; for yen and Australasian pairs it is home turf.

The exception to "quiet" is regional. USD/JPY, AUD/USD, NZD/USD and the yen crosses are trading their home hours. Japanese data lands overnight UK time; the Reserve Bank of Australia announces policy at 4:30am or 5:30am UK depending on the season. If you trade those pairs, Asia is not the warm-up — it is the match. This book's framework centres on the European majors, where Asia genuinely is the stage-setting phase.

Measuring the range — and reading its width

Define the Asian range mechanically, and define it once. A common convention for European majors: the high and low of price between midnight and 7am UK. Some traders use 11pm to 7am, some stop at 6am to avoid Frankfurt's early stirrings. It matters far less which convention you pick than that you pick one and apply it identically every day — a range that moves with your mood is not a reference, it is a

Rorschach test. Mark the high and low on your chart each morning before London opens. Two horizontal lines. Thirty seconds' work.



Figure. A market compressing into a defined overnight range: clear high, clear low, and diminishing conviction in between. The Asian range on a major pair usually looks like this — and both boundaries accumulate resting orders as the night goes on.

Now read the range like a barometer, because its *width* is information.

A normal Asian range — for illustration, something like 25–40 pips on EUR/USD, though you should measure the current norm on your own pair rather than take our number as gospel — suggests an ordinary night and sets up an ordinary London open: a clean pair of boundaries for the morning to work against.

An unusually narrow range is compression. The market has coiled. Narrow overnight ranges often precede more energetic London expansions, in the same way a quiet inside bar often precedes a directional break — the pressure has to go somewhere. These are the mornings to be alert at 8am.

An unusually wide range means the night has already spent energy — usually because of an Asian-hours headline, a Japanese policy surprise, or follow-through from a big New York afternoon. When Asia has already travelled a full day's typical distance, the London session frequently does less than usual, or spends the morning correcting the overnight move. Wide range, lowered expectations.

Compare today's range to the recent average — eyeball the last ten days or keep a simple spreadsheet — and you have a one-number pre-market briefing: is the coil wound tight, normal, or already sprung?

Why the boundaries matter: the order story

Here is the mechanical heart of session trading, and it is worth internalising properly because Chapter 3 depends on it.

Overnight, orders accumulate around the Asian range boundaries. Above the high sit two populations: buy stops from traders short against the range who will be forced out if price breaks up, and breakout buy orders from traders who want in on an upside break. Below the low sits the mirror image — sell

stops from longs, and breakout sellers. The boundaries of the Asian range are not just lines on a chart; they are the two densest pools of resting orders on the intraday map.

Pools of resting orders are liquidity, and liquidity is what large participants need to fill large positions without moving the market against themselves. A desk that wants to buy in size does its job most efficiently where sellers are forced into the market — for instance, just below an obvious low, where a cluster of sell stops will trigger and hand the desk its fill at good prices. You do not need to believe in cartoonish villainy or a single puppet-master "smart money" to accept this; it is simply how execution works at scale, and it produces a recognisable behavioural signature that we will meet, in full costume, at the London open.

For now, the practical takeaway is humbler. The Asian range gives you three things every morning: a defined structure to frame the day, a volatility reading to set expectations, and two marked pools of liquidity that the London session is statistically likely to visit. Traders who skip this preparation and open their charts cold at 8am are reading the story from the second chapter — and wondering why the plot makes no sense.

CHAPTER 2 IN ONE SENTENCE:

The quiet Asian session builds the day's first structure — a defined range whose width tells you how tightly the market is coiled, and whose high and low mark the pools of resting orders that London will almost certainly come hunting for.

Chapter 3 — The London Open: Expansion and the Judas Move

If the trading day were a play, 8am UK would be curtain-up. The world's largest pool of FX liquidity arrives at its desks, the overnight backlog of orders gets worked, and the compressed Asian range meets real volume for the first time. What happens in the next hour or two often sets the tone — and frequently the high or low — of the entire day. It is the most opportunity-rich window in a UK day trader's diary, and also the one most purpose-built to fool you.

The expansion

The basic phenomenon is simple: volatility expands sharply at and after the London open. Ranges that crawled through the night suddenly stretch. On many days, price breaks one side of the Asian range within the first hour or so of European trade and begins the day's directional business.

The naive strategy writes itself: put a buy stop above the Asian high, a sell stop below the Asian low, and catch the break. And on trending days it works beautifully — which is exactly why it is dangerous, because the same order pools that make the breakout possible make the *false* breakout profitable for someone else. Before you trade the expansion, you need to understand the market's favourite opening trick.

The Judas move

A pattern repeats around the London open often enough to have earned several nicknames — the fakeout, the stop hunt, the London swing. The most theatrical name, popularised in the ICT school of trading, is the **Judas move**: an opening move that betrays you.

It looks like this. Shortly after 8am, price pushes through one side of the Asian range — say, up through the high. Breakout buyers enter; overnight shorts are stopped out. The move runs a modest distance, perhaps ten or twenty pips beyond the boundary, then stalls, rolls over, trades back inside the range — and then breaks the *other* side with conviction, running for the rest of the morning. The first break was Judas. The second was the day.



Figure. The anatomy of a stop run: price pushes just beyond an obvious level where stops have pooled, triggers them, then reverses hard the other way. At the London open this is the Judas move — the false break that funds the true one.

Why does this happen? Recall Chapter 2's order story. The Asian range boundaries are the densest liquidity pools on the map. A large participant who wants to sell the day down cannot simply hit the bid with size in a thin market — but a push above the Asian high triggers a cluster of buy stops and attracts breakout buyers, and every one of those buys is someone to sell to. The early push *up* is how size gets *short* at good prices. Once the pool is drained, the real move begins. No conspiracy required — just execution mechanics, repeated daily, leaving the same footprint.

We should be honest about frequency: not every London open produces a Judas move. Some days break clean and never look back; some days do nothing at all. The pattern is common enough to build a framework around, not reliable enough to bet on blindly. Which is why the framework has three legs.

A framework for the open — to test, not to follow

What follows is a structure for *reading* the London open. It is an illustration of technique for you to test on historical charts and in a journalled demo environment. It is not a signal service, and we are not telling you to take any trade.

Leg one: the map. Before 8am you have marked the Asian high and low, noted the range width (Chapter 2), and — from Chapter 7's work — formed a view on higher-timeframe bias. Suppose, purely as a worked illustration, the daily chart shows a downtrend and yesterday's rally stalled at a 4-hour resistance zone. Your bias for the day leans bearish.

Leg two: the hypothesis. With a bearish bias, the framework's expectation is that any early *upside* break of the Asian range is a candidate Judas move — a run on the buy-side liquidity before the real move down. So instead of chasing the 8:15am pop through the Asian high, you watch it. Does it extend and hold, printing higher lows above the old boundary? Then it may be a genuine breakout and your bias is under question — no trade is also an answer. Or does it stall, print a reversal signature — say, a bearish engulfing candle on the 15-minute — and close back *inside* the range? That failure is the pattern completing.

Leg three: the confirmation. The classic entry logic — again, as illustration — is not the poke above the high but the *reclaim*: price back inside the range, momentum shifting, ideally a 5-minute structure break (Chapter 6 covers the execution detail). The protective stop goes beyond the Judas extreme — the logic being that if price takes out the high a second time with force, the failure hypothesis is simply wrong. The initial target is the opposite side of the range, with the day's fuller objective at the next higher-timeframe level. Note the geometry: because entry is near the top of the range and the stop just beyond a recent extreme, the risk is small relative to the potential travel. That favourable geometry — not a high win rate — is what makes the pattern worth studying. Traded honestly, it will still fail regularly.

Two warnings from the school of hard knocks. First, 7am UK is a data minefield — UK GDP, inflation and labour figures land then, and a 7am print can fake the whole open. Check the calendar before trusting the pattern. Second, the mirror-image trap: after watching three Judas moves in a row, you will start fading every breakout, and the market will pick that week to trend cleanly from 8:05am. Trend days exist. The failure pattern is a hypothesis to be confirmed by price, never an assumption to be imposed on it.

CHAPTER 3 IN ONE SENTENCE:

The London open expands the compressed Asian range — but often via a Judas move, a false break that raids the stops on one side before the day's true move goes the other way, so the disciplined response is to let the first break prove itself rather than chase it.

Chapter 4 — The New York Open and the Overlap

By late morning UK time, London's opening business is done. Price has usually broken the Asian range, run a directional leg, and — around 11am to 1pm — settled into lunchtime digestion: narrower ranges, fading momentum, the morning's move being consolidated rather than extended. Then, from 1pm, the Americans arrive, and the day gets its second act.

The 1:30pm data window

For a UK trader, the practical start of the New York session is not a bell — it is the data. The heaviest US economic releases land at 1:30pm UK time (12:30pm during the spring and autumn weeks when the clocks are out of step — diary those dates). Non-farm payrolls on the first Friday of the month, CPI, retail sales, GDP: this is the single most explosive scheduled moment on most trading days that carry a red-flag release.



Figure. A scheduled data release hitting the market: a violent spike, whipsaw both ways, spreads gapping wide, then a settling into the post-news trend. The first minutes after a 1:30pm US print are execution chaos — the tradeable information comes after the dust settles.

Our editorial position on trading *into* news is unchanged from earlier courses: don't. Spreads widen, slippage is brutal, and the first spike frequently reverses entirely. The session trader's use of the 1:30pm window is different: it is a *scheduled volatility injection* whose aftermath is often more orderly than its impact. Once the initial whipsaw resolves — give it fifteen to thirty minutes — the post-news direction, especially when it agrees with the morning's London direction and the daily bias, often defines the afternoon. The data is the starting gun for the overlap, not an invitation to gamble on the print.

At 2:30pm UK the US stock market opens, adding another pulse of cross-asset flow, and by then the day's biggest window is fully underway.

The overlap: the deepest water of the day

From roughly 1pm to 5pm UK, London and New York trade simultaneously. This is the overlap, and by turnover it is the deepest, most liquid stretch of the 24-hour cycle. Spreads are at their tightest, size gets absorbed most easily, and the day's largest single-session moves disproportionately occur here.

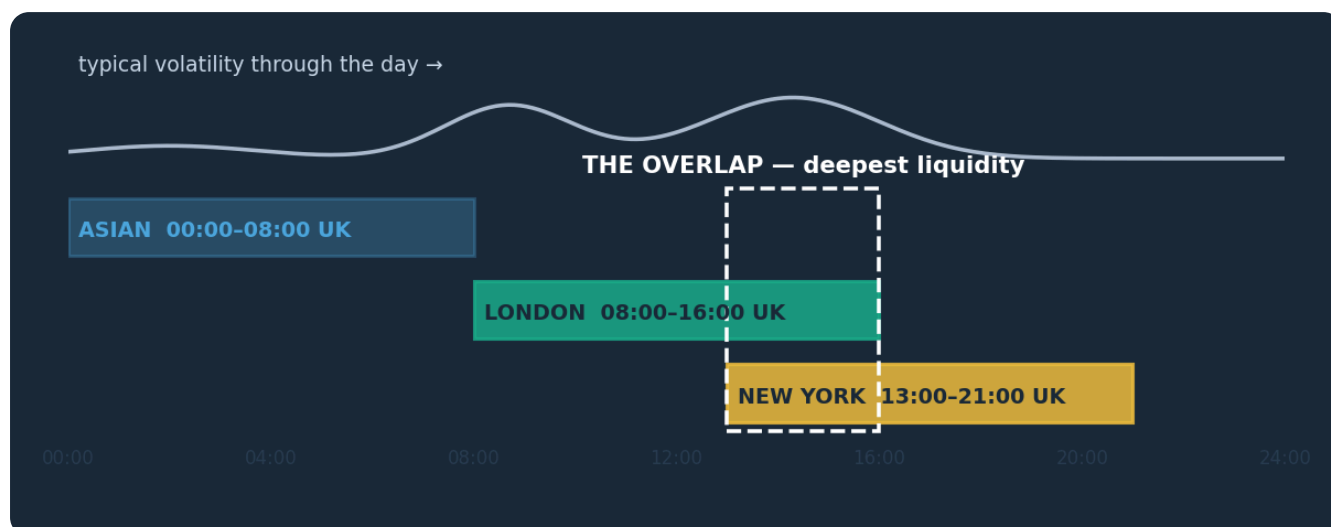


Figure. The London–New York overlap, roughly 1pm to 5pm UK: the only window when the world's two largest FX centres are both fully active. Deepest liquidity, tightest spreads, and the day's heaviest traffic.

The overlap tends to resolve in one of three broad ways, and identifying which one you are in — rather than predicting it in advance — is the skill.

Continuation. New York agrees with London. The morning's move, having paused over lunch, extends through the afternoon. These are the cleanest afternoons: the trend is established, pullbacks in the direction of the morning move are the natural framework, and the London-session levels (Chapter 5) provide the map. When the 1:30pm data lands *with* the morning direction, continuation afternoons can be the best trending hours of the week.

Reversal. New York disagrees. The morning's move stalls at a higher-timeframe level, the early afternoon takes out a London extreme and fails — a stop run in the afternoon's clothing — and the rest of the day retraces the morning. A well-known market rhythm, observed by floor traders long before retail forex existed, is that a trend running into the early afternoon often finds its counter-move when the second financial centre takes the reins. Reversal afternoons are why Chapter 5 insists you track the London session high and low: they are the levels the afternoon attacks.

Fade-out. Nothing. The morning did the day's business, the data was a damp squib, and the afternoon chops sideways in ever-narrower bars. Recognising a fade-out early — and closing the laptop — is a professional skill dressed up as laziness.

After 5pm: the long tail

London desks wind down from 4pm, with the 4pm London fix — the daily benchmark window used for institutional currency valuation — sometimes producing a final flurry of mechanical flow. By 5pm the overlap is over. New York trades on alone until 10pm UK, but with London gone the depth is halved, and the character changes: slower, thinner, more drift than trend. Late US afternoons occasionally deliver a headline-driven move, but for a UK-based day trader the honest reading of the post-5pm market is: diminishing returns, rising spreads, and an evening better spent on review (Chapter 9) than on screens.

Which raises the lifestyle point we promised to keep making. The overlap — the objectively best window of the day — runs from 1pm to 5pm, squarely across a UK working afternoon. A reader with a day job simply cannot trade it live, and pretending otherwise leads to phone-glancing, half-attention trading that is worse than none. The realistic options are honest ones: trade the London open only (an early hour before work, for some); trade the overlap only if your schedule genuinely permits sustained attention; or take the recurring hint and swing trade, using session knowledge to time entries rather than to fill your day. The market's timetable is fixed. Your job is to find the overlap between its best hours and yours — and to trade only that.

CHAPTER 4 IN ONE SENTENCE:

The New York session arrives via the 1:30pm data window and joins London in the 1pm–5pm overlap — the deepest, most liquid hours of the day, which either continue the London move, reverse it at its extremes, or fade into nothing — and the afternoon's first skill is diagnosing which of the three you are in.

Chapter 5 — Session Highs and Lows as Intraday Levels

Ask a room of struggling day traders where their support and resistance levels come from and you will hear about indicators, pivot-point formulae, and lines inherited from someone's YouTube video. Ask a session trader and the answer is almost embarrassingly plain: the levels are the highs and lows that the market itself printed, session by session. Yesterday's high. The Asian range. The London morning's extremes. These levels need no formula because they are not derived from price — they *are* price, and every participant on earth can see them.

The intraday level set

Here is the working set of levels a session trader marks, in rough order of importance.

The previous day's high and low. The single most-watched pair of reference prices in intraday trading. They are visible on every chart in every timezone, they define whether today is an *inside day* (contained within yesterday) or an expansion day, and they carry the same order-pool logic as any obvious extreme: stops and breakout orders cluster beyond them. A large share of trading days touch or breach at least one of them.

The Asian range high and low. Chapter 2's structure — the morning's primary map.

The London session high and low. As the morning progresses, the extremes printed between 8am and noon become the afternoon's key references. Chapter 4's overlap scenarios are defined by them: continuation *breaks* the London extreme in the trend direction; reversal *runs and fails* at one.

The previous week's high and low, for context, and — a subtler one worth testing — **the day's opening price** at midnight UK, which some frameworks use to judge whether the market is trading "at a premium" (above the open, attractive to sell in a bearish bias) or "at a discount" (below it, attractive to buy in a bullish one).

That is the whole list. A chart carrying these lines and nothing else is remarkably clean, and remarkably informative.

How the levels behave: run, fail, or break

A session level is not a wall; it is a decision point with an order pool behind it. When price arrives at one, three outcomes cover the ground, and you already know the mechanics from Chapter 3.

The clean break. Price pushes through, holds beyond the level, and — often — returns later to retest it from the other side before continuing. The old boundary flips roles: a broken London high, retested from above and holding, is behaving as new support. This break-and-retest behaviour at session levels is the intraday cousin of the structural role-flip covered in our support and resistance course, and it forms the backbone of continuation frameworks.

deliberately small. Six or eight lines, refreshed daily, that you actually believe in — that is a map. Forty lines is wallpaper.

CHAPTER 5 IN ONE SENTENCE:

The day's real support and resistance are the levels the market itself printed — the previous day's extremes, the Asian range, and the London session high and low — and skilled session traders don't predict what happens there, they map the levels in advance and let acceptance or rejection choose the scenario.

Chapter 6 — Intraday Structure: 15-Minute and 5-Minute Execution

Everything so far has been map-making: sessions, ranges, levels, scenarios. This chapter is about the moment the map meets the road — how to actually read and execute on the short timeframes where day trades live. Our house framework uses two: the **15-minute chart** to track the session's structure, and the **5-minute chart** to time entries. Not the 1-minute. We will get to why.

Structure doesn't change, it just speeds up

The good news: you already know the theory. Market structure on a 15-minute chart obeys exactly the grammar covered in our structure course — an uptrend is higher highs and higher lows, a downtrend is lower highs and lower lows, and the earliest objective warning of a turn is a **change of character (ChoCH)**: the first break of the most recent swing in the prevailing trend's sequence. Nothing about the logic changes intraday. What changes is tempo and noise: a 15-minute swing forms in an hour or two rather than days, and thin moments produce more false wiggles per structure than a daily chart ever will. Intraday structure reading is the same skill played at double speed on a worse pitch.

The 15-minute chart is your session narrator. Through the London morning it tells you which side is in control: a morning selling down from a Judas high will print a clean 15-minute sequence of lower highs and lower lows — each pullback failing below the last, each push making new ground. As long as that sequence holds, the morning's story is intact. The first 15-minute higher low that *holds*, or a break above the last lower high, is the structural news that the story may be ending — often exactly at one of Chapter 5's levels, and often exactly when the overlap opens.



Figure. A change of character: a trending sequence breaks its most recent swing for the first time, signalling that the prevailing intraday flow may be turning. On the 15-minute chart, a ChoCH at a session level is the structural event that separates a pullback from a reversal.

The 5-minute entry: precision, not prophecy

The 5-minute chart has one job: timing. You never ask it for direction — direction comes from the daily bias and the 15-minute structure. You ask it only: *the scenario I mapped is playing out; where, precisely, do I get in with the smallest sensible risk?*

The workhorse entry logic, illustrated with Chapter 3's Judas scenario: price has poked above the Asian high and stalled. On the 5-minute chart, that stall has its own miniature structure — a sequence of small higher lows that carried price up to the poke. The entry trigger is the 5-minute ChoCH: the break of the last small higher low, confirming that the upward push has structurally failed. Entry on the break or on the first small pullback after it; stop beyond the Judas high; first target the far side of the range. The same logic times a continuation entry in the afternoon — wait for the pullback against the trend to print its own 5-minute failure, and join the 15-minute flow as the pullback breaks down.

Notice what the two-timeframe split buys you. It is the intraday version of the top-down method from earlier courses — context above, trigger below — and it solves the day trader's besetting sin, which is trading the trigger timeframe's noise as if it were signal. What looks like a chaotic reversal on the fast chart is, more often than not, a routine pullback within the slower chart's trend; the 15-minute chart supplies the story, the 5-minute chart supplies only the entry, and never the other way round.

Costs, stops, and why we skip the 1-minute

Now the unglamorous part that decides whether any of this can work: arithmetic.

Day trading targets are small, and the spread is fixed. Illustration: EUR/USD with a 1-pip round-trip cost. A swing trade risking 60 pips for 120 gives away under 1 per cent of its target to costs. A day trade risking 10 pips for 20 gives away 5 per cent — and on a 1-minute scalp risking 4 pips for 6, the spread devours a sixth of every winner before slippage says hello. This is the structural reason we anchor execution at 5 minutes and not below: as the timeframe shrinks, noise rises, costs bite harder per trade, decisions multiply, and the human error rate climbs — a fourfold squeeze with nothing on the other side of the ledger except excitement. The 1-minute chart is where retail accounts go to be bled out politely.

Stops intraday follow the same principle as anywhere: behind the structure that invalidates the idea — beyond the Judas extreme, beyond the swing that defined the entry — never at a round number of pips chosen for comfort. But intraday adds a constraint: if the structural stop is so tight that ordinary spread-widening or a routine wick can clip it, the entry is too aggressive; and if the structural stop is so wide that the realistic session target cannot pay at least twice the risk, the trade fails the geometry test and is declined. Risk per trade stays at the fixed fraction of account covered in our risk course — position size, not stop distance, is the variable that adjusts.

One final execution rule, cheap to state and hard to obey: **one setup at a time, fully watched, or nothing.** The 5-minute chart generates apparent opportunity constantly; four pairs open means four slot machines. The session framework has already told you when and where the good moments cluster. Execution's job is to be sniper-still until one arrives — and flat the rest of the time.

CHAPTER 6 IN ONE SENTENCE:

Intraday execution is ordinary structure-reading at speed — the 15-minute chart narrates the session's trend and its changes of character, the 5-minute chart times entries at the mapped levels — anchored above the 1-minute noise floor because costs, error rates and randomness all explode as the timeframe shrinks.

Chapter 7 — Daily Bias: Combining Higher-Timeframe Context With Session Timing

A confession from the coaching files: the most common failure mode we see in session traders is not bad entries. It is good entries in a random direction. The trader has learned the Judas pattern, the session levels, the 5-minute trigger — and applies them with equal enthusiasm long and short, whichever way the first wiggle points. Session timing tells you *when* the market is likely to move. It says nothing about *which way*. That is the job of daily bias, and without it the sharpest execution in the world is a coin flip with better production values.

What a daily bias is — and is not

A daily bias is a provisional, evidence-based lean: *today, conditions favour looking for shorts* (or longs, or standing aside). Three properties matter.

It is **formed before the session**, from higher-timeframe evidence, so that the morning's noise cannot author it. It is **directional, not predictive** — "I will favour selling rallies" rather than "the market will fall today", a filter on which setups you will take rather than a forecast you defend. And it is **falsifiable**: a bias comes with the price behaviour that would kill it, stated in advance. A bias that survives all evidence isn't analysis; it's a mood.

Building the bias: a three-question routine

Bias-building doesn't need an hour. Three questions, asked top-down, in ten minutes before the open.

Question 1 — Daily chart: what is the trend, and where are we in it? The structure grammar again: higher highs and higher lows, lower highs and lower lows, or neither. Then location: is price mid-range in the trend (room to run), or arriving at a major daily level (caution — trends pause and reverse at obvious places)? A daily downtrend pulling back toward a broken support zone acting as resistance leans the day bearish. A daily chart chopping sideways mid-range leans the day *neutral* — and "no bias, smaller size or no trades" is a fully respectable output. Some of the most expensive days in a journal are strong opinions manufactured on neutral charts.

Question 2 — 4-hour chart: what is the current swing doing? The 4-hour chart bridges the daily story and the session. Is the most recent 4-hour swing with the daily trend or against it? Is there a fresh ChoCH? Where are the nearest 4-hour levels above and below — because those, added to Chapter 5's session levels, complete the day's map and mark where the day's move could stall.

Question 3 — The calendar: what is scheduled to interfere? Red-flag releases, central bank speakers, and their UK times. A clean bearish chart means little if a rate decision lands at lunchtime; bias on a big-data day comes with an asterisk and a plan to stand aside around the release.

The answers combine into one written line. For illustration: *"Daily downtrend, price pulled back to the broken-support zone; 4-hour printed a lower high overnight; no red data until 1:30pm. Bias: bearish — favour shorts on a failed break of the Asian high; bias is wrong if we accept above yesterday's high."* One sentence, one falsifier, written down before 8am. That last clause is the discipline that separates bias from stubbornness.

Marrying bias to the clock

Now the two halves of the course click together. Bias says *which way*; the session map says *when and where*. The combinations are the day's playbook:

Bias plus Judas. Bearish bias plus an early London push *up* through the Asian high is the highest-conviction alignment in this book: the expansion is running the buy-side pool in the direction opposite your lean, and its failure — confirmed by the 5-minute ChoCH — offers the day's move with the trend behind it. Bearish bias plus an early push *down*, by contrast, is awkward: the move agrees with you but may itself be the Judas. The framework's answer is patience — let the break prove itself with acceptance below the level, or wait for the first pullback to a broken boundary.

Bias plus overlap. In the afternoon, bias arbitrates Chapter 4's three scenarios. With a bearish bias and a bearish London morning, the continuation scenario carries the burden of proof-met; the reversal scenario requires strong evidence (a failed run below the London low *and* a 15-minute ChoCH) before it earns a trade against both bias and morning flow.

Bias broken. When the falsifier trips — the market accepts above yesterday's high, in our illustration — the disciplined sequence is: flat, reassess, and *do not simply reverse*. A broken bearish bias is not a bullish bias; it is no bias, until the higher timeframes say otherwise. The traders who flip long at the top of the move that stopped them out are donating twice to the same cause.

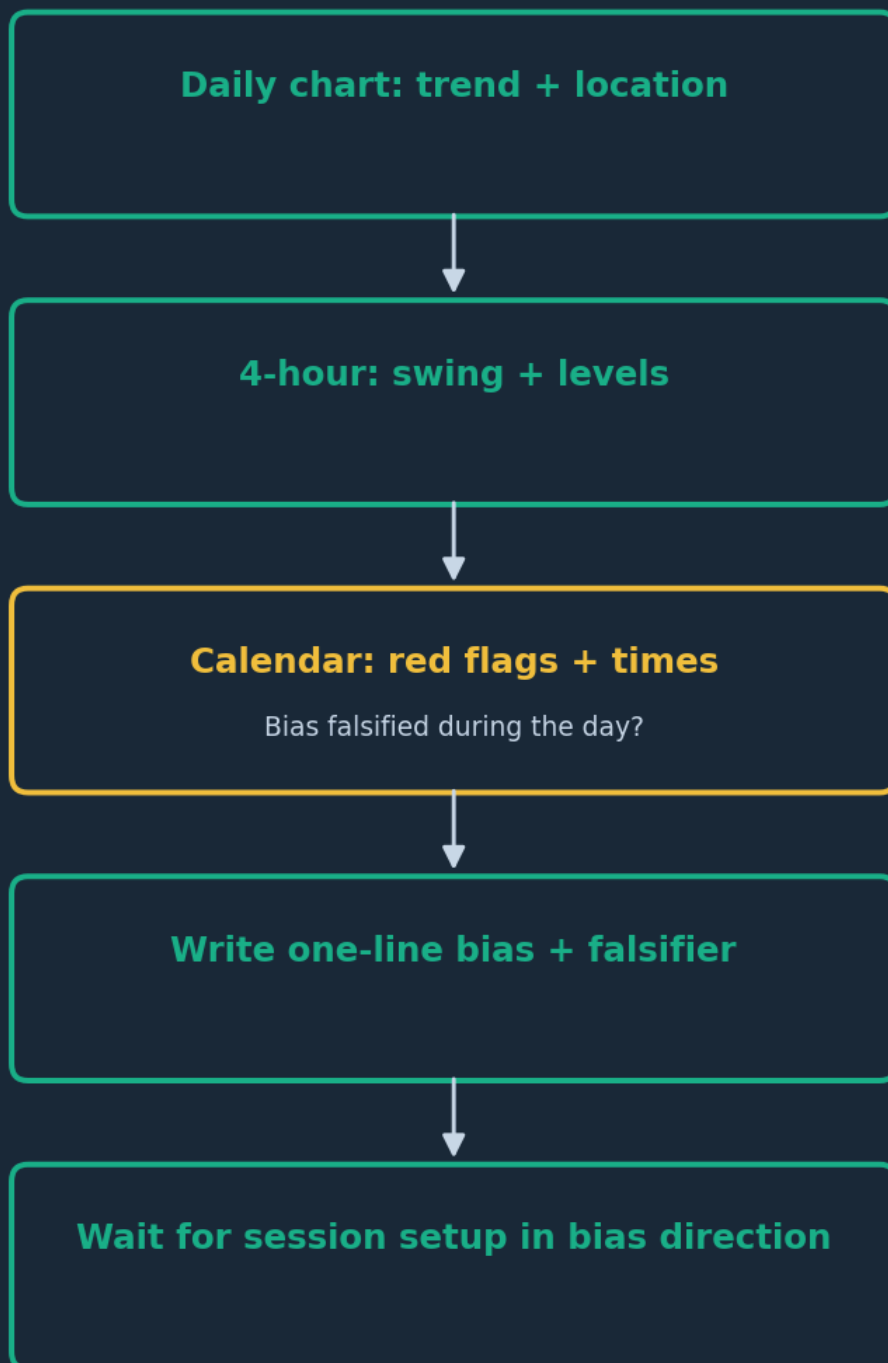


Figure. The daily bias routine: ten minutes, top-down, ending in one written sentence with a built-in falsifier. If the falsifier trips intraday, the answer is flat and reassess — not reverse.

The compounding effect of this marriage is worth stating plainly. Session timing alone gives you well-timed coin flips. Bias alone gives you a direction with no entry mechanism and a long wait. Together, they give you two or three moments a day when the calendar, the map and the higher timeframes all point the same way — and the discipline to ignore everything else. That is not a guarantee of anything. It is simply the difference between trading a framework and trading a feeling, and over a journal of two hundred days, it is usually visible to the naked eye.

CHAPTER 7 IN ONE SENTENCE:

Session timing tells you when, and only a higher-timeframe daily bias — one written sentence with a falsifier, built from the daily chart, the 4-hour swing and the calendar before the open — tells you which way, and the whole edge of this course lives where the two agree.

Chapter 8 — The Day Trader's Pre-Market Routine

Professional traders are not more inspired than amateurs at 8:29am. They are more *prepared* at 7:45am. By the time the market does something interesting, the professional has already decided what would be interesting, in which direction, at which levels, and with how much risk — so the moment demands recognition, not invention. Amateurs make decisions during the open. Professionals make them before it. This chapter turns everything the course has built into a repeatable morning routine that takes twenty minutes, and a set of hard rules that take none.

Why a routine, and why written

The market's opening hour is the worst possible environment for original thought: fast, noisy, emotionally loaded, and expensive by the minute. Every decision you can move out of that hour and into the calm before it is a decision made by your best self instead of your adrenalised one. That is the entire case for a pre-market routine — it is decision-hygiene, the same reason pilots use checklists despite knowing how to fly. And it must be *written*, every day, because a routine held in the head degrades silently: steps get skipped on busy mornings, and the skipped step is always the one that would have flagged the rate decision at noon.

A second, less obvious benefit: a written routine makes your trading auditable. When Chapter 9's review asks "was that loss bad luck or bad process?", the routine sheet is the evidence. No sheet, no verdict.

The twenty-minute checklist

Here is the house routine, refined across years of coaching. Timings assume a London-open trader at the desk by 7:35am. Adapt it; don't skip it.

Minutes 1–3 — Self-check. Before the charts: are *you* fit to trade? Sleep, mood, time available, anything on your mind that will leak into the screen? A genuinely honest no — hungover, furious, only free until 8:40 — ends the session before it starts. This step feels performative until the day it saves you a week's P&L.

Minutes 4–6 — Calendar. Today's scheduled releases, UK times, red flags circled. Note the 7am UK data risk (it can fake the open) and the 1:30pm window. During US clock-change weeks, re-check the shifted times.

Minutes 7–12 — Bias. Chapter 7's three questions — daily, 4-hour, calendar — ending in the one-sentence bias with its falsifier, written down. If the honest answer is neutral, write *neutral* and mean it.

Minutes 13–16 — Map. Mark the levels: yesterday's high and low, the Asian range (note its width against recent norms), any 4-hour zones in today's likely travel. Six to eight lines, per Chapter 5. Delete stale ones.

Minutes 17–19 — Scenarios. Write the two branches of the open, if/then format. Illustration: "*If London pushes above the Asian high and fails back inside → short setup per plan, stop above the extreme, target range low. If London accepts below the Asian low cleanly → no chase; wait for pullback to the*

broken level." Two scenarios, each with a trigger, an invalidation, and a target. Anything the market does outside them is, by prior agreement with yourself, not your trade.

Minute 20 — Risk arithmetic. Confirm today's risk per trade in cash, the position size your likely stop distances imply, and your daily loss limit (below). Ten seconds if your risk rules are fixed, which they should be.



Figure. The twenty-minute pre-market routine as a checklist. Any failed step — including the self-check — is grounds to stand down for the session. The routine's output is a day already decided, so the open requires recognition rather than invention.

The rules that guard the routine

The checklist prepares the day; three standing rules protect it while it runs.

The daily loss limit. Decide, in advance and in cash, the most you will lose in a day — a common convention is two to three times your single-trade risk — and make hitting it an automatic full stop: flat, platform closed, review deferred to the evening. The limit is not primarily financial; it is psychological circuit-breaking. The worst damage in day trading is rarely the third loss — it is the oversized fourth trade placed to win the first three back. Revenge trading is the format's signature injury, and the loss limit is its tourniquet.

The trade cap. A maximum number of trades per session — two or three is plenty within this framework. The scenarios you scripted describe at most a couple of genuine setups; a fourth trade is, by definition, one you invented live, which is precisely what the routine exists to prevent.

The end time. Decide when your session ends before it begins, and end it then — including, hardest of all, when you are up on the day and the screen is whispering *one more*. An edge that exists from 8am to 11am does not automatically exist from 11am to 3pm; overstaying a session is how a good morning becomes a flat day and a flat day becomes a bad one.

The unglamorous truth about all this is that the routine, done properly, makes most trading days boring. You prepare for twenty minutes, one scenario fires or none does, you place one trade or zero, and you are done by late morning. That is what the job looks like when it is going well. The traders who find that unbearable — who need the screen, the action, the constant involvement — have discovered something important about themselves, and it is cheaper to discover it in this paragraph than in a live account.

CHAPTER 8 IN ONE SENTENCE:

The pre-market routine — self-check, calendar, written bias, marked levels, scripted if/then scenarios, fixed risk — moves every important decision out of the chaotic open and into the calm before it, and the daily loss limit, trade cap and end time keep the plan in charge once the bell rings.

Chapter 9 — Reviewing Your Trading Day Objectively

The trading day does not end when you go flat. It ends when you have reviewed it — because for a day trader, the review *is* the improvement mechanism. You will place hundreds of trades a year in this format; without structured review, they are hundreds of coin-flips remembered through the fog of P&L and ego. With it, they are a dataset. This closing chapter builds the review process, and confronts the two dragons that guard it: outcome bias and self-deception.

Process versus outcome: the only distinction that matters

Burn this in: **a good trade is one that followed your tested plan, whatever the result; a bad trade is one that broke it, whatever the result.** Day trading serves up small samples at high speed, which means luck dominates any single day. A perfectly executed session-failure short gets steamrolled by a surprise headline: good trade, losing outcome. A revenge-driven punt with no scenario behind it catches a trend and pays handsomely: bad trade, winning outcome — and the most dangerous event in a developing trader's month, because it *rewards* the behaviour that will eventually empty the account. Judging trades by outcome trains you to repeat your luck. Judging them by process trains you to repeat your discipline. Only one of those compounds.

The practical instrument is the grade-versus-result grid. Every trade gets two marks: a **process grade** (A: fully per plan — scripted scenario, correct size, stop and exit as planned; B: minor deviation; C: violation — untriggered entry, moved stop, oversized, revenge) and the **result** (win/loss/scratch). Four quadrants emerge. A-wins and C-losses need no comment. A-losses are tuition — the cost of doing business, to be shrugged at. C-wins are poison, and the honest journal flags them in red precisely *because* they felt good.

The evening review: ten minutes, same questions

Do the review after the session, at a fixed time, never during it — and never skip it on losing days, which are the days it earns its keep. Ten minutes, five questions, written:

1. **Did I follow the routine?** Was the pre-market sheet completed — bias, levels, scenarios, risk? (Chapter 8's sheet is the evidence.)
2. **Grade each trade.** Process grade and result, per the grid. One honest sentence on any B or C: what exactly deviated, and what was I feeling when it did?
3. **Did the day fit the framework?** Judas or clean break at London? Which overlap scenario — continuation, reversal, fade-out? Did the session levels behave? This question builds your pattern library even on days you didn't trade.
4. **Rule status.** Loss limit, trade cap, end time: touched, respected, or breached?
5. **One line for tomorrow.** A single carried-forward note — not a plan rewrite.

Screenshots of each trade, annotated with entry, stop, exit and the scenario it belonged to, complete the record. Total cost: ten minutes. Total value: your entire future improvement, because everything the weekly review does depends on this raw material being honest.

The weekly layer: where the numbers live

Daily review is qualitative; the numbers only mean something in aggregates. Once a week — Friday evening or Sunday — roll the journal up and let the dataset speak. Beyond the standard metrics from our risk course (win rate, average R, expectancy), the session trader's journal can answer questions nobody else's can:

Where does my edge actually live? Tag every trade with its session window — Asian, London open, London morning, overlap, late US — and its setup type. After forty or fifty trades, patterns emerge that self-image never predicted: the trader convinced the overlap is their best window discovers their expectancy there is negative and everything is being paid for by the London open; the "Judas specialist" learns their continuation entries outperform their reversals two-to-one. This is the single highest-value analysis in day trading, because its output is executable: *stop trading the windows where you lose*. Half of professional refinement is subtraction.

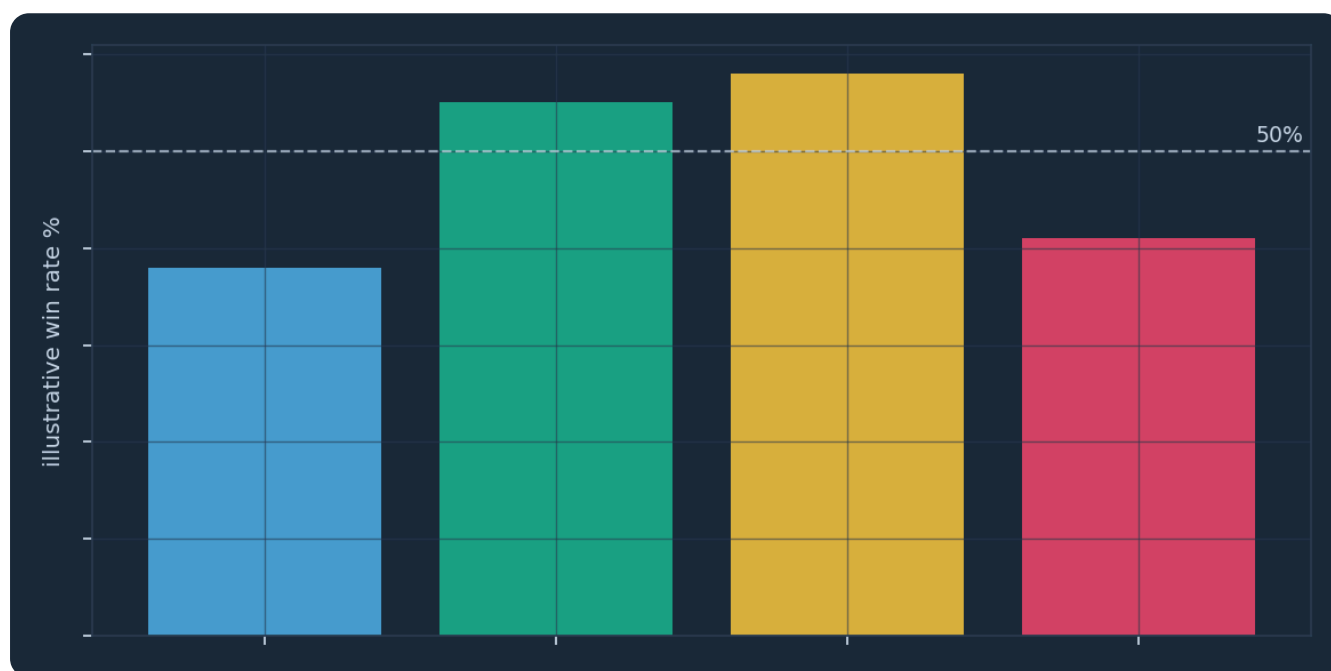


Figure. An illustrative journal breakdown of results by session window. Aggregated over enough trades, a distribution like this shows where a particular trader's edge actually lives — and which windows are quietly paying for the others. The lesson is the method, not these bars: your own journal will draw a different picture.

Are my C-grades clustering? Violations rarely distribute evenly. They cluster — after losses, after 11am, on Fridays, on days the self-check was skipped. Finding the cluster turns a vague resolve to "be more disciplined" into a specific fix: end the session at 11, stand down after two losses, never trade an unchecked morning.

Is the equity curve tracking the process grades? Over a decent sample, A-grade weeks and account performance should broadly rhyme. If you are executing A-grades and still bleeding steadily over months, the honest conclusion is that the *framework* — not the discipline — needs revisiting on this pair, in this regime. That is a finding, not a failure; frameworks are hypotheses, as we said on page one.

A last word, for this book and for the format. Day trading grants no shortage of feedback — the market marks your homework every single day, in cash. What it does not grant is *interpretation*. Two traders can live the identical losing week; one learns "I must be more careful after 11am", the other learns "trading is rigged", and only one of them is still improving in a year. The review process is where interpretation happens, which makes it — more than the Judas move, more than the overlap, more than any level on any chart — the real edge in this book. The sessions repeat every day. So should the honesty.

CHAPTER 9 IN ONE SENTENCE:

Objective review — grading every trade on process rather than outcome each evening, then aggregating weekly to find which sessions, setups and hours actually carry your edge — is the mechanism that turns hundreds of fast intraday decisions into a dataset you can improve from, and it is the closest thing day trading has to a genuine secret.

The One-Page Version

1. **Volatility is diarised.** The forex day has a fixed rhythm — quiet Asia, expansive London open, peak liquidity in the 1pm–5pm UK overlap. Trade the two or three hours that pay; be flat or absent for the rest.
2. **Day trading is the hardest format.** More decisions, thinner margins over costs, faster compounding of error. Most readers should swing trade and use session knowledge to time entries; if you day trade anyway, do it with a routine and a journal or not at all.
3. **Mark the Asian range every morning.** One convention, applied identically daily. Its width is your pre-market barometer: narrow means coiled, wide means the night already spent the day's energy.
4. **Session extremes are order pools, not walls.** Stops and breakout orders cluster beyond the Asian range, yesterday's high and low, and the London extremes — which is exactly why price seeks them out.
5. **Respect the Judas move.** The London open's first break is often the false one — a run on the stops before the real move goes the other way. Let breaks prove themselves with acceptance; trade the failure, not the poke.
6. **The afternoon is a diagnosis, not a prediction.** The overlap either continues London's move, reverses it at a London extreme, or fades to nothing. Identify which you're in from the levels; don't guess in advance.
7. **Context above, trigger below.** The 15-minute chart narrates the session's structure; the 5-minute chart times entries at mapped levels. The 1-minute chart is noise plus costs — leave it alone.
8. **No bias, no trade.** Write a one-sentence daily bias with a falsifier before the open, from the daily chart, the 4-hour swing and the calendar. Sharp entries in a random direction are well-timed coin flips.
9. **Decide everything before 8am.** Twenty-minute routine: self-check, calendar, bias, levels, two if/then scenarios, risk numbers. Then guard it with a daily loss limit, a trade cap, and a fixed end time — all set in advance, all automatic.
10. **Grade process, not outcome — then aggregate.** A rule-following loss is tuition; a rule-breaking win is poison. Review every evening, roll up weekly, and cut the sessions and setups your own data says don't pay. Subtraction is half of professional improvement.

Test Yourself — 15 Questions

- 1. For a UK-based trader, the London–New York overlap — the deepest liquidity window of the day — runs approximately:** A) 8am–11am B) 11am–1pm C) 1pm–5pm D) 5pm–10pm
- 2. Why is forex volatility clustered at particular times of day rather than spread evenly?** A) Exchanges impose trading curbs overnight B) Institutional activity, order flow and scheduled data concentrate in each centre's business hours C) Brokers widen spreads deliberately at random times D) Retail traders control intraday volatility
- 3. An unusually narrow Asian range on EUR/USD most reasonably suggests:** A) London will certainly trend upward B) The market is compressed, and the London expansion may be more energetic than usual C) The day will be quiet in all sessions D) The Asian session data was strong
- 4. Why do the Asian range high and low matter so much to the London open?** A) They are exact Fibonacci levels B) Central banks defend them C) Stops and breakout orders pool beyond them, making them the day's densest early liquidity D) They always hold as support and resistance
- 5. The "Judas move" describes:** A) The final move of the New York session B) An early London-session break of one side of the overnight range that fails and precedes the real move the other way C) A gap at the Sunday open D) Any move that stops you out
- 6. In this book's framework, the disciplined response to an 8:15am break above the Asian high, given a bearish daily bias, is to:** A) Buy the breakout immediately B) Sell immediately because of the bias C) Watch it — trade only if it fails back inside with confirmation, or stand aside if it holds and accepts above D) Place orders both sides and let one win
- 7. The heaviest scheduled US data releases normally land at what UK time (outside clock-change weeks)?** A) 7am B) 12 noon C) 1:30pm D) 4pm
- 8. A "reversal afternoon" in the overlap is classically signalled by:** A) Price closing exactly at the London open price B) A run beyond a London session extreme that fails and closes back inside C) The 4pm London fix D) Falling volume at 2:30pm
- 9. Which is NOT in this book's core intraday level set?** A) The previous day's high and low B) The Asian range high and low C) The London session high and low D) The 200-period moving average on the 1-minute chart
- 10. The most reliable tell that a session-level break is genuine rather than a stop run is:** A) The speed of the initial spike B) Acceptance — candles closing and holding beyond the level, often with a successful retest C) A single long wick through the level D) High volume on the poke
- 11. In the two-timeframe execution model, the 5-minute chart's job is:** A) Determining the daily bias B) Timing entries within the 15-minute structure and mapped levels — precision, not direction C) Identifying the weekly trend D) Replacing the 15-minute chart on fast days
- 12. The book avoids the 1-minute chart chiefly because:** A) Brokers prohibit it B) It contains no patterns C) Noise, costs relative to targets, decision load and error rates all worsen sharply as the timeframe shrinks D) It only works for indices

13. A well-formed daily bias must include: A) A precise price target for the day B) A falsifier — the price behaviour, stated in advance, that would invalidate it C) At least three confirming indicators D) A guaranteed direction

14. Your bearish bias is falsified mid-morning when price accepts above yesterday's high. The framework says: A) Reverse immediately to a bullish bias and buy B) Double the next short position C) Go flat and reassess — a broken bias is no bias until the higher timeframes rebuild one D) Ignore it; bias is fixed for the day

15. A trade that broke your rules but made money should be journalled as: A) A win — money is the only score B) A process violation flagged as dangerous, because it rewards behaviour that loses over time C) Evidence the rules are wrong D) Not journalled at all

Answer Key

1. C — London and New York are both fully active from roughly 1pm to 5pm UK, making it the deepest, most traded window of the day. **2. B** — Volatility clusters because its causes — desk activity, order backlogs and scheduled data — are concentrated in each financial centre's working hours. **3. B** — A narrow overnight range is compression; the coiled pressure often produces a more energetic London expansion, though direction remains unknown. **4. C** — Stops from range traders and entries from breakout traders pool just beyond the Asian extremes, making them the liquidity London typically seeks first. **5. B** — The Judas move is the false early-London break that drains one side's stops before the day's true move runs the other way. **6. C** — The framework never chases the first break; it waits for the break to fail (setup) or hold with acceptance (stand aside and reassess the bias). **7. C** — Major US releases land at 1:30pm UK — shifting to 12:30pm for the few weeks each spring and autumn when UK and US clock changes are out of step. **8. B** — A failed run through a London extreme is the classic stop-run signature of an afternoon that reverses the morning's move. **9. D** — The level set is market-printed session extremes; derived indicators on the 1-minute chart are exactly the clutter the book argues against. **10. B** — Wicks through a level mean little; closes and holding beyond it — acceptance, ideally with a retest that holds — are the market's confirmation. **11. B** — Direction comes from bias and 15-minute structure; the 5-minute chart exists solely to time the entry with the smallest sensible structural risk. **12. C** — Shrinking the timeframe multiplies noise, decision load and error while costs consume a larger share of each smaller target — a fourfold squeeze. **13. B** — A bias is a falsifiable lean, not a forecast; without a pre-stated invalidation it degrades into stubbornness. **14. C** — Flat and reassess; flipping direction at the moment of falsification is how traders donate twice to the same move. **15. B** — Rule-breaking winners are poison because they reinforce behaviour that fails over a full sample; the journal flags them precisely because they felt good.

Appendix — The Glossary, in Pub English

Every term used across the PIP:Insight school — explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask

The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency

The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish

Expecting a price to fall. The bear swipes down.

Bid

The price you sell at.

Breakout

Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish

Expecting a price to rise. The bull tosses up.

Candlestick

One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank

A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross

A pair without the US dollar in it, like EUR/GBP.

Drawdown

How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar

The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry

The price where your trade opens.

Exotic

A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill

The actual price your order executed at, which is not always the price you asked for.

Fundamentals

The economic story behind a currency: growth, inflation, interest rates, politics.

Going long

Buying — profiting if the price rises.

Going short

Selling first — profiting if the price falls. Completely normal in forex.

Leverage

Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity

How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot

A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major

A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin

The deposit your broker holds while a leveraged trade is open.

Margin call

The broker telling you your account can no longer support your open trades. You never want the call.

Pip

The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette

A tenth of a pip. Fine print.

Position sizing

Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency

The second currency in a pair — the one the price is counted in.

R-multiple

Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range

A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance

A ceiling where selling has repeatedly shown up.

Retest

Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward

What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage

The difference between the price you wanted and the price you got, usually in fast markets.

Spread

The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss

The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support

A floor where buying has repeatedly shown up. The market's memory.

Swap

The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit

The pre-set exit that banks the win at your target.

Trend

The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility

How violently a market moves. Opportunity and danger are the same number.

Continue Your Journey

This book is Course 11 of 15 in the PIP:Insight Forex School. Everything below is free, forever:

- **The free video series** for this course — the PIP:Insight YouTube channel.
- **The Trading School** — 6 levels, 36 lessons, quizzes: pip-insight.co.uk/school.
- **The Trade Journal** — equity curve, discipline score, priced playbook: pip-insight.co.uk/journal.
Your data never leaves your device.
- **The Daily Analysis** — every instrument mapped before London opens.
- **The Tape** — every call settled in public, losses included: pip-insight.co.uk/tape.

Thank you for buying the book — it funds the free machine above.

— The PIP:Insight desk